

Current State Analysis

NorthStar Manufacturing - Invoice Approval Process Optimization

Confirmed Current-State Facts

Category	Confirmed Fact
Company	NorthStar Manufacturing, manufacturing industry, 500 employees, \$75M annual revenue.
Invoice volume	Approximately 1,200 vendor invoices per month.
Current intake	Invoices arrive through a shared AP email inbox.
Current tools	Outlook, Excel, Microsoft Dynamics 365, and shared network drive.
ERP usage	Dynamics 365 is used for accounting and financial reporting, but invoice workflow has not been configured. AP has read-only access.
AP team	Three AP Analysts support invoice intake, routing, follow-up, and tracking.
Approval governance	Approval authority is documented in a Finance policy PDF, but it has not been updated recently. AP also uses a manually maintained Excel approval matrix.
Routing rules	Primarily department ownership and invoice amount. Under \$5,000 routes to Department Manager; \$5,000-\$25,000 to Director; over \$25,000 to Finance Director.
PO coverage	Approximately 60% of invoices have purchase orders. The remaining 40% are non-PO invoices requiring additional manual review.
Common exceptions	Missing PO numbers, missing supporting documentation, incorrect vendor information, duplicate invoices, and unclear department ownership.
Current KPIs	Finance tracks monthly invoice volume and total AP spend. Approval cycle time, overdue invoices, and approval aging are not formally measured.
Business impact	Several invoices per month are paid late, and several early-payment discount opportunities were missed in the last year.
Audit issue	Documentation is fragmented across Outlook email chains, shared network drives, and Excel trackers.

Current-State Process Overview

The current process begins when a vendor submits an invoice to the shared AP inbox and ends when Accounting schedules payment in Dynamics 365 and records are archived. The approval workflow itself occurs outside Dynamics through Outlook and Excel.

Step	Activity	Owner	Tool/System	Current Issue
1	Vendor submits invoice	Vendor	Outlook	Invoice formats and completeness may vary.
2	AP receives invoice	AP Analyst	Shared inbox	Ownership and visibility can be unclear.
3	AP logs invoice	AP Analyst	Excel	Manual entry creates effort and data quality risk.
4	AP validates invoice details	AP Analyst	Outlook, Excel, shared drive, Dynamics read-only	Validation is manual and time-consuming.
5	AP determines approver	AP Analyst	Approval matrix and Finance policy PDF	Policy is outdated and matrix often requires clarification.
6	AP routes invoice	AP Analyst	Outlook	Email routing can lead to lost or delayed approvals.

Step	Activity	Owner	Tool/System	Current Issue
7	Approver reviews invoice	Manager/Director/Finance Director	Outlook	No centralized queue or SLA visibility.
8	AP follows up	AP Analyst	Outlook and Excel	AP manually chases overdue approvals.
9	AP updates status	AP Analyst	Excel	Status depends on manual maintenance.
10	AP forwards approved invoice	AP Analyst	Outlook	Handoff to Accounting is manual.
11	Accounting enters invoice	Accounting	Dynamics 365	Invoice is entered after approval.
12	Accounting validates and schedules payment	Accounting	Dynamics 365	Late approvals can compress payment timeline.
13	Invoice is archived	AP/Accounting	Outlook, shared drive, Excel, Dynamics	Records are fragmented.

Current-State Swimlane

Process Step	Vendor	AP Analyst	Approver	Accounting	Systems
Submit invoice	Sends invoice				Outlook
Receive and log		Receives and records invoice			Outlook, Excel
Validate		Checks vendor, invoice number, amount, date, department, PO, and support			Excel, shared drive, Dynamics read-only
Determine approver		Uses approval matrix and policy; contacts department if unsure	May clarify ownership		Excel, PDF policy
Route and review		Emails invoice	Reviews and approves/rejects		Outlook
Follow up and update		Sends reminders and updates tracker	Responds when available		Outlook, Excel
Accounting handoff		Forwards approved invoice		Receives invoice	Outlook
Payment processing				Enters invoice, validates, schedules payment	Dynamics 365
Archive		Stores supporting records		Stores payment records	Shared drive, Outlook, Excel, Dynamics

Process Observations

- AP is functioning as the workflow engine by manually routing, tracking, reminding, escalating informally, and reporting status.
- Approval governance exists but is not operationally reliable because the Finance policy and approval matrix are not current.
- Non-PO invoices represent approximately 40% of volume and require additional manual review, increasing exception risk.
- Dynamics 365 is underutilized for approvals; the approval process happens outside the ERP.
- Leadership visibility is limited because approval cycle time, overdue approvals, and approval aging are not formally measured.

- Audit evidence is fragmented across Outlook, Excel, shared drives, and Dynamics, increasing preparation time.

Current-State Bottlenecks

Bottleneck	Description	Business Impact
Manual invoice entry	AP manually enters invoice details into Excel.	Adds time and error risk.
Manual approver identification	AP relies on outdated policy and matrix.	Causes routing delays and clarification loops.
Non-PO review	40% of invoices require additional manual review.	Increases processing time and exception volume.
Email approvals	Approvals occur through Outlook.	Lost emails and limited status visibility.
No formal SLA or escalation	Overdue approvals depend on AP follow-up.	Delays continue without accountability.
Fragmented records	Documentation stored in multiple locations.	Audit preparation is difficult.
Limited KPIs	Cycle time, aging, and overdue approvals are not measured.	Leadership cannot manage bottlenecks effectively.